

thirty years. For example, borrowers with more than \$30,000 in federal loans may be eligible for a 25-year repayment term. Generally, the length of time you'll be allowed to extend your repayment period, if at all, is determined by the amount you owe.

- **Graduated repayment.** This option allows you to make lower payments in the early years of your loan, depending on the amount you owe; your payments will then increase every two years.
- **Income-based repayment.** With this deal, you pay no more than a set percentage of your income; the lower your salary, the less you pay each month. If at the end of 25 years you still have not paid off your debt, the government will forgive you the remainder of what you owe. (It forgives but it doesn't forget. You'll have to pay income tax that year on the amount that's been waived.) For more information, go to www.ibrinfo.org.

How much will these various plans increase the amount of interest you pay? A lot. For example, if you extended the term of a \$20,000 loan (with a 6.8% interest rate) from ten years to twenty years, you would have to shell out a whopping \$9,021 in added interest (although you would cut your monthly payments by a third). For some useful calculators, go to www.ed.gov or www.finaid.org.

Special Breaks If You Can't Make Your Payments

The government has set up rules that spell out exactly why and for how long you can put off repaying your student loans. Such a delay is called a **deferment**. Deferment rules change every few years, so figuring out whether you qualify for one can get pretty confusing.

Deferments are granted to people in a few different situations. If you're unemployed, a part-time or full-time student, a professional intern or resident, a full-time unpaid volunteer, or a recipient of an approved graduate fellowship, you may qualify for a deferment. Also, if you teach full-time in a public or nonprofit elementary or secondary school in what is considered